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AMIT GUPTA, a software engineer who lives in Noida, commutes 20 km twice a week to work in Delhi. The 28-year-old prefers working from home the rest of the week to save on time and high fuel expenses for his sedan. In contrast, 30-year-old Minu Saxena, a sales executive based in Delhi, travels approximately 40 km daily to Gurugram and back, and loves long drives on weekends. Saxena drives for over 20,000 km a year, while Gupta's car barely does 4,000 km.

Yet, despite this vast difference in usage patterns, both pay similar motor insurance premiums. "I would prefer paying lesser than someone who commutes daily and travels long distances. On top of that, I am a very careful driver, which I wish my insurance company could consider while deciding on premium rates," says Gupta.

For people like Gupta, policies such as 'pay as you drive' (PAYD) that charge premiums based on the mileage of the vehicle have come as a relief. Such add-ons translate into lower premium payments when the vehicle is driven less.

In July 2022, the Insurance Regulatory and Development Authority of India (Irdai) allowed general insurance companies to introduce tech-enabled concepts in motor own-damage (OD) policies. Since then, there has been a flurry of usage-based products and insurance companies are warming up to the use of data from telematics devices—gadgets that track and send information related to the

distance, driving behaviour and pattern of a car to a remote server—to determine premium rates. This add-on can be purchased at the time of renewal or while buying a new motor insurance policy, either directly from the insurer or online. All that the customer needs to do is fill up a form providing her personal details and those of the vehicle being insured.

Here is a lowdown on how these policies work and the fine print you should watch out for before signing on the dotted line.

GOING THE DISTANCE

In PAYD policies, premium is based on the kilometres opted for by the policyholder at the time of buying the policy. There are various slabs one can choose from. "In India, telematics devices are available only in a few models, hence, under the policy we launched, the distance covered is computed based on the readings of the odometer (the analogue distance gauge in the car's dashboard). Odometer readings can be tracked via a telematics device or through a mobile app," says Parthanil Ghosh, President of Retail Business at HDFC ERGO.

The insurer offers a 25 per cent discount on premium for a car driven for 0-2,500 km, 17.50 per cent for 2,501-5,000 km, 10 per cent for 5,001-7,500 km and 5 per cent for 7,501-10,000 km. There is no discount for distances above 10,000 km. The policyholder just needs to update the opening odometer reading while purchasing the policy and the final reading at the end or at the time of renewal.

"Based on distance driven, the policyholder would be eligible to claim the benefit even if they decide not to renew the policy with the company. In this case, the benefit will be paid to the customer through NEFT. When the policy is renewed, the benefit can be used to pay the renewal premium,"



"Based on the odometer reading, policyholders can get up to a 25 per cent discount on their own-damage premium"

PARTHANIL GHOSH

PRESIDENT, RETAIL BUSINESS, HDFC ERGO



"Launch of connected cars in India is perfect as they provide quality information on driving patterns to the insurer"

SUBHASISH MAZUMDER

PRESIDENT & HEAD-MOTOR DISTRIBUTION, BAJAJ ALLIANZ GENERAL INSURANCE



"Some PAYD policies might enforce limitations on specific types of driving, including driving during peak hours or in high-risk areas"

INDRANEEL CHATTERJEE

CO-FOUNDER, RENEWBUY